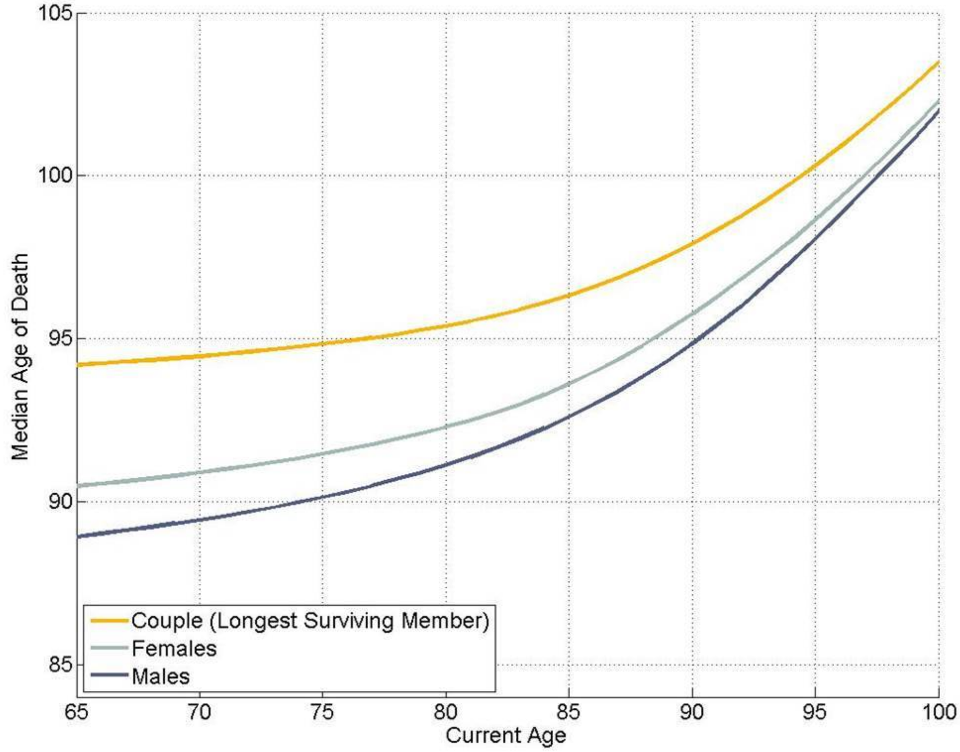

Source: Own calculations for Society of Actuaries 2012 Individual Annuitant Tables with improvements through 2017.

What planning age should a sixty-five-year-old retiree choose when building a retirement income plan? This is a personal decision to be based partly on objective characteristics: gender, smoking status, health status and history, family health history, and other socioeconomic characteristics that correlate with mortality. It is also partly based on an individual's answers to more subjective questions: how do you feel about outliving your investment portfolio, and what would be the impact on your standard of living if you outlived your portfolio? In a 2011 article, Moshe Milevsky and Huaxiong Huang define longevity risk aversion as the attitude one has regarding the possibility of living longer than expected and outliving one's financial resources. Beyond the objective information available about mortality, longevity risk aversion is what will drive a retiree's decision about an appropriate planning age.